

ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

www.icmai.in

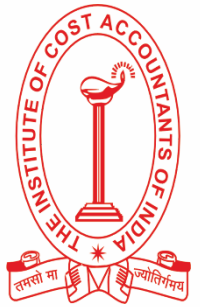
Company Assessment

Behind every successful business decision, there is always a **CMA**



DEFINITION OF COMPANY

Sec. 2(28)



Indian Company



Any company formed and registered under the Companies Act, including statutory corporations.

Foreign Body Corporate



Any body corporate incorporated by or under the laws of a country outside India.

Historical Assessment



Any institution or body which was already assessable as a company under the erstwhile Income-tax Act.

Board Declaration

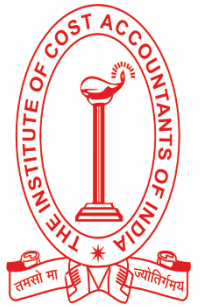


Any institution or body declared by a specific order of the CBDT to be a company for a specified period.

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CLASSIFICATION OF COMPANIES



Indian Company

Formed under the Companies Act / a Central/State Act / an institution or association or body which is declared by the Board to be a company – S. 2(53)



Domestic Company

Encompasses all Indian Companies, PLUS any other company that makes prescribed arrangements for declaring and paying dividends within India – S. 2(42)



Foreign Company

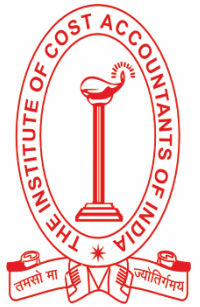
Negatively defined u.s. 2(46); means any corporate entity which does not qualify as a domestic company.

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PRESCRIBED ARRANGEMENTS FOR DIVIDENDS

Rule 3



Share Register Maintenance

The share-register for all shareholders must be regularly maintained at the principal place of business in India from a date not later than April 1st.



General Meeting Location

The general meeting for passing the accounts of the tax year and for declaring any dividends must be held exclusively at a place within India.



Dividend Payout

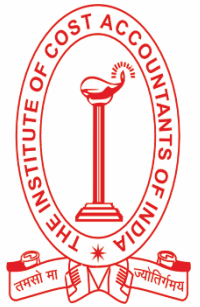
If any dividends is declared, such dividend shall be payable only within India to all shareholders.

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Company in which public is substantially interested

Sec. 2(29)



Government Backed

A company owned by the Government or RBI, or where at least 40% of shares are held by them (individually or collectively).



Section 8 Companies

Companies registered for charitable objects without a profit motive under Section 8 of the Companies Act.



Mutual Benefit & Nidhi

Mutual benefit finance companies and declared Nidhi companies carrying on the business of acceptance of deposits from members.

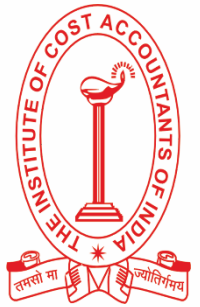
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Cont.

Company in which public is substantially interested

Sec. 2(29)



Listed Public Companies

A non-private company whose shares are actively listed on a recognized stock exchange in India as on the last day of the relevant tax year.



50% Voting: Government

A non-private company where $\geq 50\%$ voting power is unconditionally held by the Govt, RBI, or their subsidiaries throughout the year.



50% Voting: Co-operatives

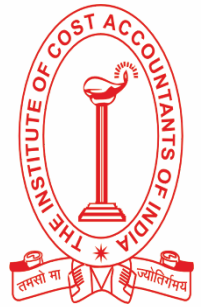
A company where shares carrying not less than 50% voting power are unconditionally held by one or more co-operative societies.

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Tax Rate

Company	Rate
In the case of a domestic company	
- Where its total turnover or gross receipts during the tax year 2024-25 does not exceed ₹ 400 crore	25%
- In any other case	30%
In the case of a foreign company	35%



Surcharge subject to marginal relief

Total Income	Domestic Company	Foreign Company
If total income exceeds ₹ 10 crore	12%	5%
If income exceeds ₹ 1 crore but does not exceed ₹ 10 crore	7%	2%
If income does not exceed ₹ 1 crore	Nil	Nil

Health & Education Cess

Applicable on: All assessee

Rate of cess: 4% of Tax liability after Surcharge

Tax payable should be rounded off u/s 516

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Sec. 200: The 22% Rate



Applicability

Available exclusively to Domestic Companies at their option.



Condition

Total income must be computed without specific deductions and set-offs.



Tax Benefit

Income-tax payable shall be @ 22%.



IFSC Exception

Deduction u/s 147 remains fully available for IFSC units.

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Section 200: Mandatory Disallowances



No Deductions

Cannot claim deductions under Sec 45(2), 47(1)(b), Chapter VIII (except 146 or or 147 or 148), or Sections 205(1)(a) to (g).



No Loss Set-off

Computed without set-off of any loss carried forward from earlier tax years if attributable to the excluded deductions.



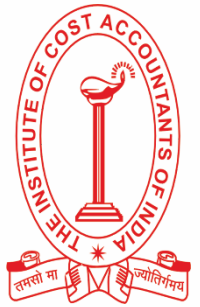
No Depreciation

Computed without set-off of unabsorbed depreciation under Section 116, if attributable to the disallowed deductions.

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Section 201: New Mfg Companies



15% Tax Rate

New manufacturing domestic companies can opt for 15% rate on core manufacturing income.



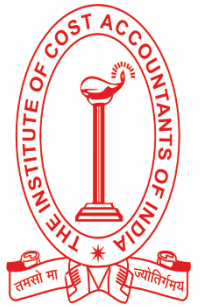
Objective

Specifically designed to attract investment and aggressively boost domestic manufacturing and production.

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Section 201: Critical Timelines



Setup & Registration

The domestic company must have been officially set-up and registered on or after **01-10-2019**.



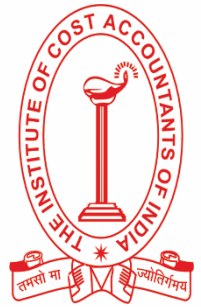
Commencement

The company must have commenced manufacturing or production of an article or thing on or before **31-03-2024**.

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Section 201: Differential Rates Map



Core Manufacturing Income

Total income other than items mentioned below

15%

Non-Manufacturing Income

Incidental income; computed without deductions/allowances

22%

Short-Term Capital Gains

Derived from transfer of non-depreciable capital assets

22%

Deemed Income

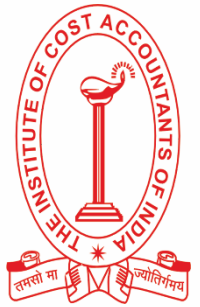
Income deemed under Section 205(4)

30%

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Exercise & Violation Protocol



Filing Timeline

The option must be exercised on or before the due date specified under section 263(1) for furnishing the first return of income.



Irrevocability

Once the option is exercised for any tax year, it shall not be subsequently withdrawn for the same or any other subsequent tax year.



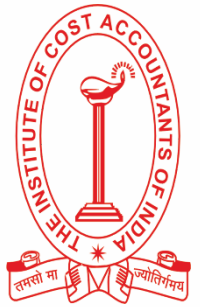
Violation Consequence

Failing to satisfy required conditions renders the option invalid permanently. Standard Act provisions will then apply.

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Objective of MAT



Certain corporate taxpayers generate substantial commercial income but reduce their net payable tax to zero using legal tax incentives, exemptions, and depreciation rules.



The rise of these profitable "**Zero Tax Companies**" created a severe imbalance in corporate tax collections.



Objective: To bring profitable entities that distribute handsome dividends back into the legal corporate tax net.

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Broad Applicability of Sec. 206



01



Applies uniformly to every corporate entity operating within the legal framework of India.

02



Covers both Indian Domestic companies and Foreign companies alike.

03



Extends to all corporate classifications, whether they are resident or non-resident, closely held or widely held.

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Exemptions: Shipping & Insurance



Shipping Company

Income of a shipping company that is already subject to specialized "tonnage income" provisions under Chapter XIII-G (Sections 225 to 235).

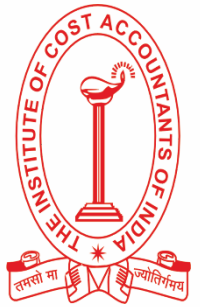


Life Insurance Company

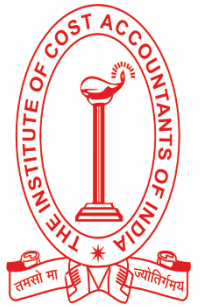
Profits and gains accruing directly to an insurance firm from a life insurance business as referred to u/s 194(1)

[Table Sl. No. 6]

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Foreign Company Exclusions



DTAA Residents

Completely exempt if the taxpayer resides in a Double Taxation Avoidance Agreement country and does not maintain a Permanent Establishment (PE) in India.



Non-DTAA Residents

Exempt if the company is from a non-DTAA country and is not legally obligated to register under Indian corporate laws.



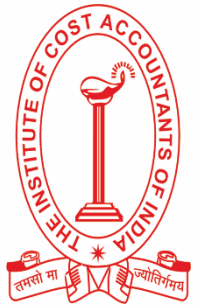
Presumptive Business

Exempt if the entire income comes from Section 61(2) presumptive operations (shipping, aircraft, oil exploration) and is taxed at special rates.

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New Tax Regime Domestic Exclusions



Alternative Tax Pathway

Domestic companies that actively opt for the alternative corporate tax regime are entirely excluded from MAT.



Statutory References

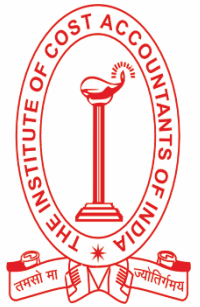
This exclusion applies directly to corporate entities governed under the provisions of Section 200 and Section 201.

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The MAT Trigger & Core Treatment

MINIMUM ALTERNATE TAX OVERVIEW



The Trigger

MAT applies if the normal corporate income tax payable on total income is less than 14% of the calculated Book Profit.

Normal Tax < 14% × Book Profit



Deemed Total Income

In such scenarios, the calculated book profit is legally deemed to be the total taxable income of the assessee.



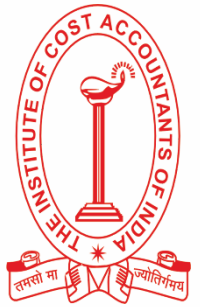
The Tax Rate

The baseline tax payable on this deemed income is fixed at 14% of the book profit plus applicable surcharge and Health & Education Cess.

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Special Concessions for IFSC Units



Location Criterion: The company must operate as a distinct business unit set up in an International Financial Services Centre (IFSC).



Currency Criterion: The business unit must derive its operational income solely in convertible foreign exchange.

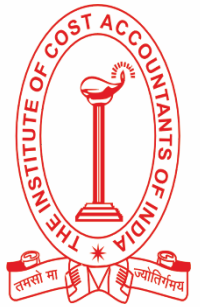


Concessional Rate: Minimum Alternate Tax rate is reduced from 14% to 9%.

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Computing Book Profit (Schedule III)



Schedule III Mandate

Every company must prepare its Statement of Profit and Loss in accordance with Schedule III to the Companies Act, 2013.



Sector Exceptions

Banking, insurance, or electricity companies must prepare statements according to specific Acts governing their respective sectors.



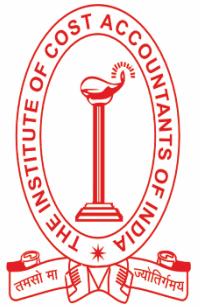
Tri-Factor Consistency

The accounting policies, the accounting standards, and the depreciation methods/rates must match those adopted for the AGM.

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Mandatory Accountant's Report (Form 66)



Filing Timeline: The audit report must be uploaded one month prior to the due date of filing the income tax return under Section 263(1).



Framework: The report must be submitted utilizing Form 66 in accordance with Rule 137 of the Income-tax Rules.



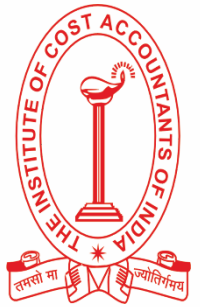
Notice Response: Alternatively, the report can be furnished along with return filed in response to a notice u/s 268(1).

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Treatment of Losses & Allied Provisions

COMPLIANCE AND LEGAL FRAMEWORK



Carry Forward Shield

Nothing shall affect the determination of the amounts in relation to the relevant tax year to be carried forward to the subsequent year or years under the provisions of sec. 33(11) or 111 or 112(1) or 113 or 115



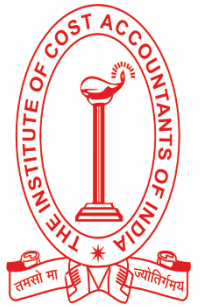
Standard Tax Application

All other regular provisions of the Income-tax Act, including Advance Tax obligations, continue to apply normally.

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Computation of Book Profit



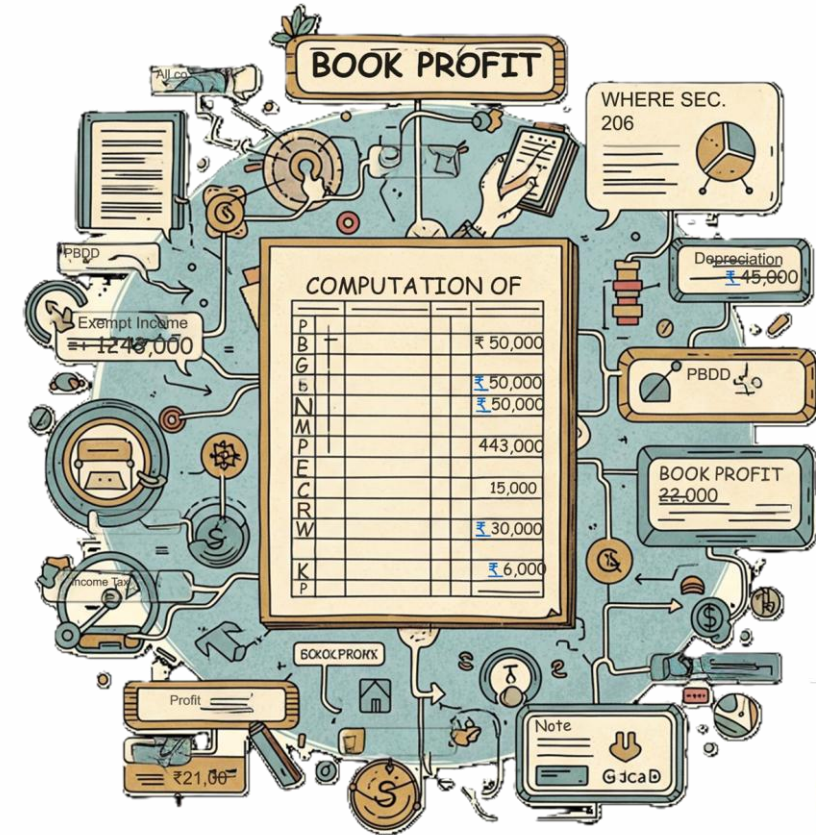
Starting Point

Profit shown in the statement of profit and loss for the relevant tax year



COMPUTATION BASIS

Computed under Section 206(1)(c) subject to specific statutory additions and reductions.



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Additions to Book Profit: Taxes & Penalties



INCOME TAX

Add: Income-tax paid or payable, including provision for it.



INTEREST

Add: Any interest under the Income Tax Act.



SURCHARGE & CESS

Add: Surcharge and cess on the income-tax.



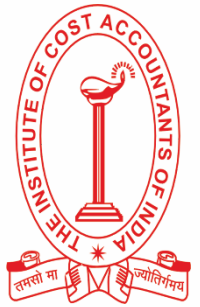
EXCLUSION

Penalties under this Act and STT are NOT added back.

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Additions: Reserves & Provisions



RESERVES

Add: Amounts carried to any reserves, by whatever name called.



UNASCERTAINED LIABILITIES

Add: Provisions made for unascertained liabilities (e.g., future losses).



EXEMPTION

Gratuity provision based on actuarial valuation is an ascertained liability.



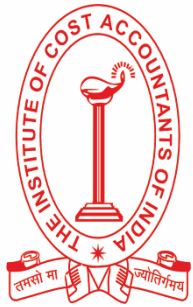
DIMINUTION OF ASSETS

Add: Provision for diminution in the value of any asset (e.g., asset written-off).

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Additions: Dividends, Depreciation & Deferred Tax



DIVIDENDS

Add: Amount or amounts of dividends paid or proposed.



DEPRECIATION

Add: The amount of depreciation debited to the Statement of Profit & Loss.



DEFERRED TAX

Add: The amount of deferred tax and provision thereof. Similarly, reduce if credited to P/L



EXEMPT INCOME EXPENDITURE

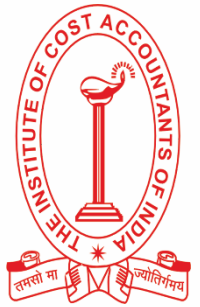
Add: Expenditure relatable to exempt income (e.g., Sec 11 provisions). Also reduce corresponding income credited to P/L



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Reductions: Withdrawals from Reserves



WITHDRAWALS CREDITED

Less: Amount withdrawn from any reserve or provision if credited to P&L.



POST-1997 RULE

For reserves created post-1997, it only reduces if it previously increased book profit.



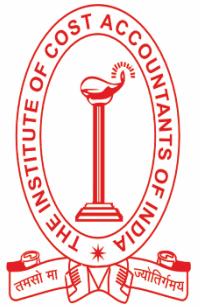
REVALUATION RESERVE

Less: Withdrawals from revaluation reserve credited to P&L (limited to revaluation depreciation).

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Reductions: Depreciation & Brought Forward Loss



Standard Depreciation

Less: Depreciation debited to P&L. Excludes depreciation strictly on account of revaluation.



Loss or Unabsorbed Dep.

Less: Brought forward loss OR unabsorbed depreciation, whichever is less.



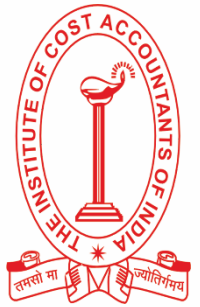
Condition

Loss shall not include depreciation. If either brought forward loss or unabsorbed depreciation is nil, deduction is nil.

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Special Adjustments: AOP/BOI & Foreign Cos



AOP / BOI Member

Add expenditure relatable to exempt income;
Reduce exempt income from the Statement of
Profit & Loss.



Foreign Company

Applies to capital gains or lower-taxed interest,
dividend, or royalty income specifically.



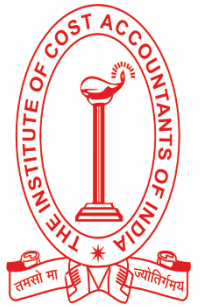
Net Adjustment

Add relatable expenditure debited to P&L;
Reduce the specific associated income credited
to P&L.

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Special Adjustments: Business Trust Transfers



+ NOTIONAL LOSS

Add: Notional loss on transfer of SPV share to a business trust for units.

− NOTIONAL GAIN

Less: Notional gain credited to P&L on transfer to a business trust.

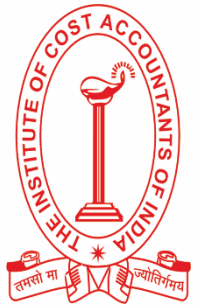
↔ ACTUAL TRANSFER HIGHLIGHT

When trust units are actually transferred, the gain on transfer of such units is to be added, and the loss on transfer of such units is to be reduced

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Special Cases: Insolvency, Sick Units & Demerger



Insolvency

Reduce aggregate of unabsorbed depreciation
AND brought forward loss completely (no
limits apply).



Sick Units

Reduce profits for the period until net worth
exceeds accumulated losses completely.



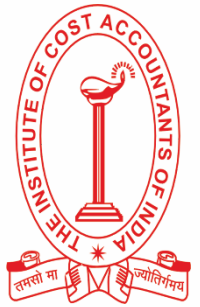
Demerger

Resulting company ignores any asset value
changes from demerged company books.

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Special Adjustments: Royalty & Advance Pricing



PATENT ROYALTY INCOME U/S 194(1)

Add relatable expenditure debited to P&L and Less income by way of such royalty credited to P&L.



ADVANCE PRICING AGREEMENT (APA) U/S 168 & 170

If past year income increases current book profit due to an APA or secondary adjustment, the AO shall recompute past year book profits upon application.



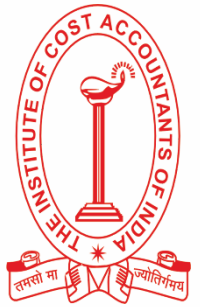
APA RECOMPUTATION CONDITIONS

A 4-year limitation period applies from the end of the FY the application is received.

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Ind AS Adjustments: Transition Amount



IND AS COMPLIANCE

Financial statements under Indian Accounting Standards require transition adjustments.



TIMELINE APPLICATION

One-fifth of the transition amount is added/reduced in the year of convergence + 4 years.



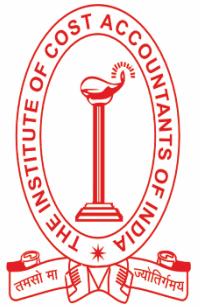
STRICT EXCLUSIONS

Do not include items reclassified to P&L, revaluation surplus, or equity fair value changes.

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MAT Credit: New Regime & Domestic Cos.



POST 2026-27 RULE

From Tax Year 2026-27, tax paid under MAT is considered a **final tax**. No new credit is available.



UNUTILIZED LEGACY CREDIT

Available to: For Domestic Cos. with old credits (u/s 115JAA) as of 31-03-2026 exercising options u/s 200(5) or 201(2) for a tax year starting on or after 01-04-2026.



USAGE LIMIT & CARRY FORWARD

Can offset up to a maximum of **25% of regular tax payable** for that year. Balance credit carries forward.



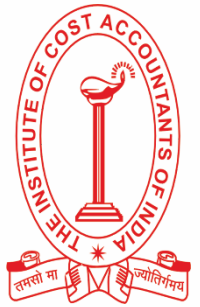
EXPIRATION DATE

The credit completely expires **15 years** after the original year it first became allowable under the old 1961 Act.

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MAT Credit: Foreign Cos. & Special Rules



Foreign Companies [Sec. 206(4)]

Use only when regular tax liability exceeds computed MAT. Usage is capped at the difference between regular tax and MAT.
Expires after 15 years.



Assessment Adjustments

If any order passed under the Act decreases or increases the tax payable, the tax credit allowed to be set off adjusts accordingly.



Conversion to LLP

In case of conversion of a private company or unlisted public company into an LLP, the unutilized MAT credit shall NOT be available to the successor LLP.

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INTRODUCTION TO ITR-6



Applicability

Mandatory for all companies registered under the Companies Act, except company registered u/s 8 of the Companies Act (which use ITR-7).



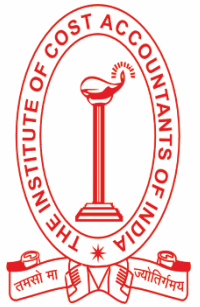
Filing Mode

Must be filed electronically and authenticated using a valid Digital Signature Certificate (DSC).



Due Date

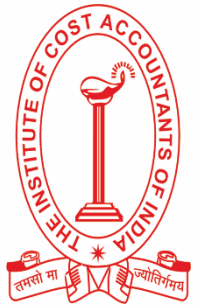
October 31st of the next year, extending to November 30th for companies subject to Transfer Pricing regulations.



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ANATOMY OF ITR-6 STRUCTURE



Part A-GEN & BS/P&L

Financial data must be mapped precisely according to Schedule III of the Companies Act.



Anti-Abuse Disclosures

Demands exhaustive details regarding unlisted equity shares, shareholders, and directors to prevent tax evasion.



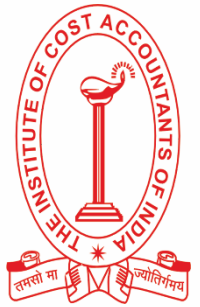
Part B-TI & TTI

The summary where all income aggregates, deductions are applied, and tax liability (with surcharge) is computed.

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SCHEDULE BP: BUSINESS INCOME COMPUTATION



The Starting Point

The tax computation engine begins with Net Profit before taxes, derived directly from the commercial P&L Account.



Strict Additions

Disallowances for TDS defaults, late MSME/statutory payments and excessive related-party cash payments, etc.



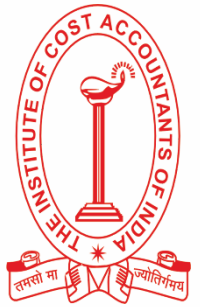
Key Deductions

Subtract allowable items not debited to P&L, such as Income Tax depreciation, expenditures related to specified business, etc.

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SCHEDULE MAT: MINIMUM ALTERNATE TAX



The Core Concept

Ensures companies with high commercial profits but zero tax liability pay a minimum tax on adjusted "Book Profit".



Specific Additions

Must add back income tax provisions, carried reserves, declared dividends, and Companies Act depreciation (including revaluation).



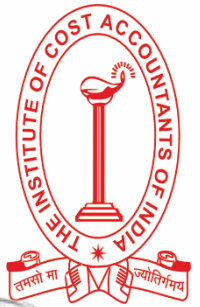
Specific Deductions

Deduct exempt incomes, withdrawn from reserves, lower of brought-forward loss or unabsorbed depreciation, etc.

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REPATRIATION STRATEGY: THE DIVIDEND ROUTE



Taxability

Dividends are taxed directly in the hands of the shareholders at their applicable slab rates or DTAA rates.



TDS Compliance

Distributing companies must deduct tax at source



Section 148 (Old 80M) Deduction

Strategically removes the cascading tax effect on inter-corporate dividends to the extent dividends are distributed.



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SEC. 69: BUYBACK CAPITAL GAINS



Treated as Transfer



Buybacks are now taxed as capital gains in hands of shareholder. Full value of consideration is the amount received, minus cost of acquisition.

Dual-Layer Promoter Tax



Promoters face two-tier burden: **Layer 1** (Regular Capital Gains Tax) PLUS **Layer 2** (An Additional Tax Matrix).

Layer 2 Matrix Rates



STCG adds 2% (domestic co) or 10% (others). LTCG adds 9.5% (domestic co) or 17.5% (others). The final outflow includes a mandatory 12% surcharge and 4% cess.

Who is a Promoter?



Encompasses SEBI-defined promoters for listed entities, and any person directly or indirectly holding >10% shareholding in an unlisted company.

Behind every successful business decision, there is always a **CMA**



SEC. 116: INHERITING TAX LOSSES



The Core Benefit



Amalgamated companies can inherit and utilize accumulated business losses and unabsorbed depreciation of the target company.

Amalgamating Conditions



Target must be in business for 3+ years and hold 75% of fixed asset book value from two years prior.

Post-Merger Continuity



The new entity must hold 75% of acquired assets and continue the target's business for 5-year period.

Carry-Forward Time Limit

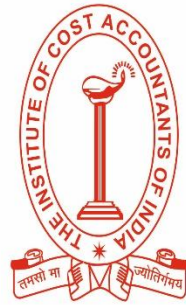


Inherited business losses are restricted to 8 tax years from the year they were **originally incurred** by the target entity.

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Thank You



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COST ACCOUNTANTS OF INDIA

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